

This is the sort of out-of-whack situation that calls out for correction. Debt levels desperately needed to come down. That is the nature of the crisis that began in 2007 and continues today. Consumers in the United States—and elsewhere—borrowed too much money. They now needed to deleverage. They needed to pay down their debts. They needed to get the burden off their backs so they could return to spending money again. This deleveraging spell was bound to lead to problems.

In a credit expansion, truly wonderful things happen. A bank takes \$10 worth of capital and—thanks to the fractional reserve banking system—lends out \$100 or more. Consumers spend money that they never actually earned. This, too, has a wonderful effect. Businesses typically pay out in wages much of what they take in in sales receipts. Labor is an expense. It is also their major source of sales. But when sales come from credit, there is no offsetting expense item. The money that would have been paid out in wages drops to the bottom line as profit.

In a credit contraction, however, less wonderful things happen. In fact, the cycles that were so beneficial become obnoxious. Consumers pay back \$100 worth of loans and the money shrinks down to \$10—or worse. Often, loans are not repaid at all. In this simplified example, if a single \$10 loan is not repaid, the bank's capital is wiped out. It cannot loan any money to anyone. What happened to the \$10? It disappeared.

In a contraction, sales disappear, too. Instead of spending more than he can afford, the consumer begins to spend less than he can afford. He withholds some spending in order to pay down debt. This has a knock-on effect that is even less wonderful. Businesses make fewer sales so they need fewer employees to make them. Joblessness increases, further reducing household incomes, sales, and profits.

These periods of deleveraging or credit contraction are so rare that economists can't study them. There aren't enough data points. The best we can hope to do is to understand them generally and theoretically. Probably the best recent example of a credit contraction—or a “balance sheet recession”—is in Japan over the last 21 years. A full analysis of that experience goes far beyond the scope of this book; still, it is worth looking at three implications:

- These things can last a long time.